

Fund Product FAQ, Fee Methodology, and Minimum Investment Policy

Demo reference guide for product inquiries, fee explanation, and account eligibility checks

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Applies To	Retail, Advisory, Institutional Share Classes (where open)

Document Purpose

- Provide explanatory content for minimum investment, management fees, and expense ratios.
- Support hybrid answers that combine structured fund facts with unstructured definitions and caveats.
- Offer sample response guidance for client emails and advisor requests.

This is synthetic demo content for retrieval and hybrid reasoning testing. Values, thresholds, and names are illustrative only.

Table of Contents

Section	Topic
1	Fund data model and field definitions
2	Minimum investment policy
3	Fee structure and methodology
4	Expense ratio interpretation and waivers
5	Eligibility and share class access
6	Liquidity, settlement, and redemption conditions
7	Sample inquiry response patterns
8	FAQ and glossary

1. Fund Data Model and Field Definitions

- fund_name identifies the product and may appear with multiple share classes.
- share_class changes fees, minimums, eligibility, and distribution terms.
- minimum_investment_usd is the initial subscription minimum for a new position unless an approved override applies.
- minimum_additional_investment_usd is the minimum amount for follow-on subscriptions.
- management_fee_bps, gross_expense_ratio_bps, and net_expense_ratio_bps should be explained separately to clients.
- status (open, soft closed, closed) controls whether subscriptions may be accepted.

Field	Meaning	Example
fund_name	Product name	Northern Trust Global Real Estate Index Fund
share_class	Fee and eligibility variant	Retail A / Retail I / Institutional / Advisory
minimum_investment_usd	Initial minimum	2,500 for selected retail classes
gross_expense_ratio_bps	Expenses before waivers	45 bps
net_expense_ratio_bps	Expenses after waivers	35 bps
status	Subscription availability state	open / soft closed / closed

2. Minimum Investment Policy

The standard minimum investment may differ by share class and client segment.

- Retail classes may use a standard minimum such as USD 2,500 for new accounts in this demo dataset.
- Advisory share classes typically require higher minimums than retail classes.
- Institutional share classes may require substantially higher minimums, for example 250,000 or more.
- Approved client-specific overrides may be stored in account entitlements and can supersede the standard minimum.
- Status and eligibility checks still apply even if a minimum override exists.

Share Class	Illustrative Initial Minimum	Illustrative Additional Minimum	Typical Segment
Retail A	USD 2,500 to 10,000	USD 250 to 1,000	Retail
Retail I	USD 2,500 to 10,000	USD 250 to 1,000	Retail
Advisory	USD 10,000 to 50,000	USD 1,000 to 5,000	Advisory
Institutional	USD 250,000 to 1,000,000	USD 25,000 to 100,000	Institutional

Example handling: If the user asks for Northern Trust Global Real Estate Index Fund minimum investment, answer from the structured sheet first, then explain that the value can vary by share class and account type.

3. Fee Structure and Methodology

- Management fee is the advisory or portfolio management fee charged by the fund manager.
- Expense ratio includes management fee plus operating expenses and may include third-party service costs.
- Gross expense ratio is before contractual or voluntary fee waivers and reimbursements.
- Net expense ratio is after applicable fee waivers and is often more representative of current investor cost.
- Sales load and redemption fee, if any, should be disclosed separately and not blended into expense ratio.

Fee Term	Definition	How to explain to client
Management fee	Manager compensation component	State in bps and note it is one part of total cost.
Gross expense ratio	Total expenses before waivers	Useful for understanding pre-waiver fund cost.
Net expense ratio	Total expenses after waivers	Often the current ongoing expense estimate.
Sales load (front)	Purchase-time charge if applicable	Show only if the share class has this fee.
Redemption fee	Charge on redemption if applicable	Mention triggers and timing conditions.

4. Expense Ratio Interpretation and Waivers

- If gross_expense_ratio_bps is greater than net_expense_ratio_bps, a fee waiver or reimbursement is present.
- Waivers may be temporary and subject to expiration or board review.
- Responses should avoid implying waivers are permanent unless explicitly documented.
- For demo answers, it is useful to mention both values and explain the difference in plain language.

Example	Gross ER	Net ER	Suggested explanation
Global Real Estate Index Fund (sample)	42 bps	35 bps	Net ER is lower due to a current fee waiver.
US Equity Index Fund (sample)	18 bps	18 bps	No waiver difference reflected in current data.
ESG Global Equity Fund (sample)	38 bps	30 bps	Waiver lowers current net cost versus gross.

5. Eligibility and Share Class Access

- eligibility_segment in the fund master indicates the intended investor segment for the share class.
- A fund share class may be open but still restricted to institutional or advisory accounts.
- A client account must also pass KYC and onboarding checks before subscription can proceed.
- Regional and jurisdiction restrictions may apply and should be reviewed before providing final eligibility confirmation.
- soft closed status means subscriptions may require approval or may be limited to existing investors.

Status	Meaning	Recommended response language
open	Subscriptions generally accepted subject to fund master rules	'Fund is open; subscriptions subject to eligibility and account onboarding.'
soft closed	Conditional or limited acceptance	'Fund is soft closed; subscriptions may require approval.'
closed	New subscriptions not accepted	'Fund is closed for new subscriptions at this time.'

6. Liquidity, Settlement, and Redemption Conditions

- Liquidity frequency (daily or weekly in demo data) indicates the expected dealing cycle for subscriptions and redemptions.
- Settlement cycle (for example T+1 or T+2) should be presented as operational timing, not investment advice.
- Redemption fees may apply only in specific timing windows or conditions and should be checked by share class.
- Responses should direct the client to official offering documents for complete terms and disclosures.

Topic	What to state	Caveat to include
Liquidity	Daily or weekly liquidity as shown in structured data	Subject to market holidays and operational cutoffs
Settlement	T+1 or T+2 as shown in structured data	May vary based on jurisdiction and transfer method
Redemption fee	Fee if non-zero in fund data	Confirm conditions in prospectus or product supplement

7. Sample Inquiry Response Patterns

Sample email pattern for minimum investment and fee request

When a client asks for details on Northern Trust Global Real Estate Index Fund, the response should ideally include: fund name and share class, minimum investment, management fee, gross and net expense ratio, liquidity, settlement cycle, and an eligibility note.

- Lead with facts from the fund master (minimums and fee fields).
- Explain fee terminology from this document in simple language.
- Add status and eligibility caveat (open, soft closed, or institutional only).
- Invite the client to confirm account type and share class preference for final validation.

Suggested caveat language

The information provided is for evaluation support and does not constitute investment advice. Final terms, eligibility, and charges are subject to the applicable offering documents and account review.

8. FAQ and Glossary

Question	Response Summary
What is the difference between management fee and management fee?	Management fee is a component; expense ratio reflects total ongoing fund expenses.
Why are gross and net expense ratios different?	Net may be reduced by a current waiver or reimbursement arrangement.
Does the standard USD 2,500 minimum apply to all funds?	Minimums may vary by fund and share class, and institutional classes are often higher.
Can a fund be open but not available to my account?	Yes. Eligibility, KYC, share class restrictions, and region rules can still block access.
What does soft closed mean?	The fund may accept subscriptions only under certain conditions or approvals.

Glossary

- bps - basis points. 100 bps = 1.00 percent.
- ER - expense ratio.
- Share class - variant of a fund with different fees or eligibility terms.
- Prospectus - offering document containing official fund terms and disclosures.